DEEPSTACK
The Buildout · Part 03 · Memo

CREDIT

The Machines Will Work. The Debt Might Not.

AI demand may be real. The more dangerous question is who is financing the machines, and how quickly lenders can change their minds.

By DeepStack · August 15, 2026 · Credit · 7 min read on the page · deepstack.ltd/stories/the-debt-behind-the-machines/

THE DEEPSTACK CALL

Skeptical Bearish on the credit

The machines will earn. The credit stack is where this buildout breaks first.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Watch the six-month compute premium: buyers paying double for short terms are pricing duration risk.
2. Before trusting the 21% modeled return, ask who carries depreciation when funding costs rise.
3. Price new AI debt on its concessions: wider new-issue discounts mean lenders are flinching.

WHAT WOULD CHANGE OUR MIND

- Nebius's short-term premium collapses toward long-term rates.
- H100 re-lets stay near original prices and the queued $50–60 billion of issuance clears without wider concessions.

THE FULL ARGUMENT

DeepStack's view is that AI demand is holding up, but the credit structure financing it is already under strain. The single most important reason is the term structure of Nebius's compute contracts: buyers pay roughly twice as much for six months or less as for one to three years, a signal about duration that a lender cannot ignore. The 95 percent H100 re-let and the 21 percent modeled return make the bullish case credible, yet neither settles who bears depreciation when financing costs rise. Our view would change if Nebius's short-term premium collapsed, H100 re-lets stayed near original prices, hyperscaler free cash flow remained healthy in 2027 and the queued issuance cleared without wider concessions. Until then, the buildout is less an earnings story than a test of balance-sheet patience.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Bearish on the credit	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Aug 15, 2026	Bearish on the credit	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

$500B
Wall Street-arranged chip facility
Headlines, August 12, 2026

$250B
Nvidia Ohio-campus guarantee
Vitaliy Katsenelson, August 6, 2026

21%
Modeled compute internal return
Market Sentiment, August 8, 2026

6%
AI paper investment-grade share
JunkBondInvestor, August 9, 2026

WHO IS ON EACH SIDE

The debt behind the machines: 1999 capex, 2008 credit, or neither?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: `deepstack.ltd/sides/the-debt-behind-the-machines/`

3 VOICES

1999 capex plus 2008 credit

Michael Burry Aug 12, 2026
Nebius extended its server depreciation schedule from four years to five this year even though its own deal pricing implies roughly 50 percent annual decay; customers that would not quit depreciating are what extended the bust twenty-five years ago.
`michaeljburry.substack.com/p/trading-post-august-12-2026`

Michael Burry Aug 12, 2026
Nebius's own disclosed terms show compute in backwardation: 20 to 25 million dollars per megawatt on one-to-three-year contracts against 40 to 50 million per megawatt for capacity of up to six months; buyers paying twice the rate for near-term use...
`michaeljburry.substack.com/p/trading-post-august-12-2026`

Vitaliy Katsenelson Aug 6, 2026
AI profitability is elusive while open-source and Chinese models deliver comparable results at a fraction of the cost, so data-center pricing faces a race to the bottom exactly as fiber optics did after 1999; then the bankruptcies reveal who was...
`vitaliy.substack.com/p/todays-market-1999-capex-2008-credit`

THE STRONGEST CASE AGAINST THIS SIDE

Oguz Erkan Aug 6, 2026
Rental prices for six-year-old A100 GPUs are up more than 20 percent year-to-date, a direct read on AI model providers' willingness to pay and, by extension, end-customer demand.
Qualifies Michael Burry on evidence · `www.capitalist-letters.com/p/its-time-to-be-bullish-on-compute`

4 VOICES

The borrowing is rational

Market Sentiment Aug 8, 2026

Capacity is sold before it is built: AWS backlog reached 496 billion dollars, Microsoft closed June 2026 with 678 billion of commercial RPO up 84 percent year over year, Google Cloud's backlog hit 514 billion; CoreWeave's 2020-era A100s are fully…

www.marketsentiment.co/p/is-the-capex-sustainable

Market Sentiment Aug 8, 2026

Modeled bottom-up, 100 billion dollars of annual data-center capex sustains roughly 160 billion of steady-state annual revenue, a 1.6x revenue-to-capex multiple and about a 21 percent IRR, even assuming a five-year chip life and a one-third annual…

www.marketsentiment.co/p/is-the-capex-sustainable

Oguz Erkan Aug 6, 2026

Rental prices for six-year-old A100 GPUs are up more than 20 percent year-to-date, a direct read on AI model providers' willingness to pay and, by extension, end-customer demand.

www.capitalist-letters.com/p/its-time-to-be-bullish-on-compute

Variant Perception

Still risk-on, semis capital-scarce, July was a tradeable low.

THE STRONGEST CASE AGAINST THIS SIDE

Vitaliy Katsenelson Aug 6, 2026

AI profitability is elusive while open-source and Chinese models deliver comparable results at a fraction of the cost, so data-center pricing faces a race to the bottom exactly as fiber optics did after 1999; then the bankruptcies reveal who was…

Contradicts Market Sentiment on premise · vitaliy.substack.com/p/todays-market-1999-capex-2008-credit

3 VOICES

Voices that cross sides

JunkBondInvestor

Three endings fit today's numbers: squeeze, triumph, or spreads just cheapen. Unsortable yet.

Oguz Erkan

His own tripwire: hyperscaler free cash flow may go negative in 2027; leverage on speculative returns repels.

www.capitalist-letters.com/p/its-time-to-be-bullish-on-compute

Market Sentiment

His own bar: the spend needs about $960B of cloud revenue; the run rate is about $380B, growing 40% or more.

www.marketsentiment.co/p/is-the-capex-sustainable

NOT A DISAGREEMENT

Bridge to Parts 1 and 2

Across earlier Parts: Katsenelson's vendor-financing evidence supports Burry's circularity thesis from Part 1, and Market Sentiment's realized H100 paybacks support SemiAnalysis's inference economics from Part 2.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Market Sentiment contradicts Michael Burry on evidence

Market Sentiment contradicts Vitaliy Katsenelson on premise

Michael Burry qualifies Oguz Erkan on evidence

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Nov 10, 2026 `p03-t01` PENDING

Short-term premiums collapsing toward long-term rates would weaken the backwardation warning; persistence would make it harder to dismiss.

Question	Did Nebius's September-quarter results, in the release, the shareholder letter or on the call, still price compute capacity of six months or less at a premium to its one-to-three-year contracts?
Source	Nebius Group, quarterly results furnished to SEC EDGAR (Form 6-K) `www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=NBIS&type=6-K`
Rule	Read the price per megawatt (or per GPU-hour) Nebius gives for terms of six months or less and for one-to-three-year terms. The answer is yes if the short-term price is at or above 1.5 times the long-term price (the premium persists), and no if the ratio is below 1.5 (the premium collapsed toward long-term rates).
If the source is late, revised or silent	If the results carry no term pricing, or Nebius reports after November 30, 2026, the test is inconclusive, and the Result says what was read and what was missing.

Next H100 batches `p03-t02` PENDING

Re-lets near 95 percent support durable value; faster decay would expose a gap in the economics.

Specification pending

Jan 1, 2027 `p03-t03` PENDING

Resilient hyperscaler free cash flow would ease leverage fears; negative cash flow would validate Erkan’s tripwire.

Specification pending

Sep 8, 2026 `p03-t04` REFUTED

The next $50B-$60B issuance will show whether new-issue concessions keep widening or start to normalize.

Question	Did the investment-grade corporate bond spread (ICE BofA US Corporate Index option-adjusted spread, FRED series BAMLC0A0CM) read tighter on October 2, 2026, the end of the four weeks after Labor Day, than its August 2026 average?
Source	FRED, ICE BofA US Corporate Index option-adjusted spread (BAMLC0A0CM) `fred.stlouisfed.org/series/BAMLC0A0CM`
Rule	on - baseline <= -0.03 => yes; on - baseline >= 0.03 => no
If the source is late, revised or silent	A series that is late, revised after the reading or silent for the window is inconclusive, reviewed by the owner, and the Result says what was read, what was missing and the next step. A difference inside the 3 basis point band is inconclusive and closes the test.

When the streak ends `p03-t05` PENDING

The 182-day run ending would test whether unusual market calm is breaking; repetition would extend the signal.

Specification pending

THE TEST CAME IN

The answer was no. The Call expected no: the result supports it.

REFUTED Oct 10, 2026 · Test p03-t04

Confirmed: the investment-grade spread ended the window five basis points wider than August's average, as the Call expected.

The test. The next $50B-$60B issuance will show whether new-issue concessions keep widening or start to normalize.

The ICE BofA US Corporate Index option-adjusted spread read 0.85% on October 2, 2026, the end of the four weeks after Labor Day, against an average of 0.80% over August's 21 daily readings (FRED series BAMLC0A0CM). The difference is +0.05%, five basis points, outside the 3 basis point band the rule names, so the answer to the question is no: the market did not price the window tighter than August. That is the outcome the Call expected of the credit stack.

What the series does not show, the press did. On September 22 Reuters reported spreads on AI-related issuers near 115 basis points against 78 for the broader investment-grade market, Alphabet paying a large concession on its August sale, and Aon's $13.5 billion financing drawing $65 billion of orders with its 30-year tranche tightening 35 basis points. Concessions normalized away from the AI complex and stayed wide inside it. That split is evidence here, not the rule.

The Call of Part 03, bearish on the credit of the buildout, expected the spread to widen. It did, by five basis points.

EVIDENCE

ICE BofA US Corporate Index option-adjusted spread, average 2026-08-01 to 2026-08-31	**0.80%** FRED BAMLC0A0CM `fred.stlouisfed.org/series/BAMLC0A0CM` · Aug 31, 2026
ICE BofA US Corporate Index option-adjusted spread, 2026-10-02	**0.85%** FRED BAMLC0A0CM `fred.stlouisfed.org/series/BAMLC0A0CM` · Oct 2, 2026
ICE BofA US Corporate Index option-adjusted spread, reading less average	**+0.05%** FRED BAMLC0A0CM `fred.stlouisfed.org/series/BAMLC0A0CM` · Oct 2, 2026
Spreads on AI-related issuers against the broader investment-grade market, as Reuters reported on September 22, 2026	**about 115 basis points against 78** Reuters, Corporate bond buyers get picky with flood of AI debt `www.reuters.com/legal/transactional/corporate-bond-buyers-get-picky-with-flood-ai-debt-2026-09-22/` · Sep 22, 2026

The DeepStack Call. Conviction unchanged: a wider spread at the end of the window is what the Call expected of the credit stack.

SOURCES AND FURTHER READING

1. Capitalist Letters - Oguz Erkan's compute framework · `www.capitalist-letters.com/p/its-time-to-be-bullish-on-compute`
2. Market Sentiment - capex sustainability model · `www.marketsentiment.co/p/is-the-capex-sustainable`
3. JunkBondInvestor - Credit Weekly · `www.junkbondinvestor.com/p/credit-weekly-what-if-they-just-keep`

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 12, 2026. Canonical page: https://deepstack.ltd/stories/the-debt-behind-the-machines/. Who is on each side: https://deepstack.ltd/sides/the-debt-behind-the-machines/.

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